

— TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Set the chart to 5-minute timeframe.

Apply pivot points standard to default settings.

Wait for the price to hover around a pivot point.

Look for a pullback #1- if the pullback is occurring without breaking the pivot point, it is a reversal trade.

Look for a pullback #2- if the pullback is occurring after breaking the pivot point, it is a trend continuation trade.

BUY entry will be triggered when a bullish candle is formed after the pullback.

STOPLOSS is placed at the low of the candle.

TARGET is placed at the next pivot point, but, if the pivot point is near the entry candle, the target is set to the very next pivot point.

The above illustration explains the market opened gap-up on 31st March 2023, the last day of financial year 22-23. The market was bearish for the past few weeks, and short covering was due. On the last day of FY, we saw short covering in Nifty 50 when the market broke the R2 and took a pullback at R2. Now, when the market took a pullback without breaking the support, a continuation trade was confirmed from the price action itself. With this strategy, we got a profit of almost 1:4.